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# state - Leaders call for sanctions on Russia

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SACRAMENTO >> Moving to support the Ukrainian people and protect the interests of Californians, Gov. Gavin Newsom today sent a letter to the leaders of the California Public Employees' Retirement System (CalPERS), California State Teachers' Retirement System (CalSTRS) and the University of California retirement system calling for the state to leverage its sizeable global investment portfolio to sanction the Russian government.

"Russia's brazen and lawless military assault on Ukraine demands our support for the Ukrainian people and exacting an immediate and severe cost upon the Russian government," the Governor wrote. "The California Constitution is explicit in the fiduciary duties that are required of us on behalf of the hundreds of thousands of Californians who have invested in these systems. These fiduciary obligations and our moral imperative before these atrocities demand that you act to address Russia's aggressions and immediately restrict Russian access to California's capital and investments."

The combined assets of CalPERS, CalSTRS and the UC retirement system amount to $970 billion — equivalent to 60 percent of Russia's gross domestic product last year. Over $1.5 billion of these California investments are held in a various financial instruments linked to Russia's financial markets.

The Governor called for the funds to halt the flow of money from the state to Russia, ban the purchase of Russian debt and conduct an assessment to ensure their actions protect the interests of current and future retirees. The Governor also requested recommendations from CalPERS, CalSTRS and the UC on additional measures that can be implemented to protect the state's investments amid global financial sanctions on Russia.

A copy of the letter can be found online at https://www.gov.ca.gov/wp-content/uploads/2022/03/2.28.22-Investments-Letter.pdf

Bipartisan coalition of legislators introduce bill to divest state funds from Russia

Senate Majority Leader Mike McGuire and a broad, bipartisan coalition of California State Legislators will be introducing legislation to divest state public funds from Russia and Russian-state entities following the unprovoked war against Ukraine.

While the Federal Government has taken swift and aggressive action advancing unprecedented sanctions against Russia and its leaders, California is the world's fifth largest economy and enhanced action taken by the State could help the people of Ukraine by putting additional financial pressure on the already beaten-up Russian economy.

"The world is watching the atrocities taking place in Ukraine. It's sickening," Senator Mike McGuire said. "We must stand strong for the people of Ukraine. That's why we all must mobilize to stop Russia in its tracks. California has unique and remarkable economic power in this circumstance. As the fifth largest economy in the world, we must use this power for good. We can help stop this autocratic thug, Putin, by advancing this critical legislation and enacting our own financial divestments."

Senate Majority Leader McGuire and the legislative coalition will be advancing a bill that will call on all state agencies, including the Golden State's massive pension funds, CalPERS and CalSTRS, to divest from any and all Russian assets immediately.

It's believed California has Russian investments exceeding over $1 billion, primarily in its pension funds. At this

point there can be no excuse to invest in and support Putin, his oligarchs, and the Russian economy.

Russia's economy, not even in the top 10 of world economies, is one of their big pressure points and California should use its power to exert influence where it can.

The delegation will also ask private companies based in California to divest their investments in the Russian economy. In addition, the legislation would block the awarding of state contracts to any company that is conducting business with Russia.

This bill is supported by a broad and growing bipartisan coalition of Senators and Assemblymembers, including: Senators Susan Eggman, Scott Wiener, Dave Cortese, Bill Dodd, Tom Umberg, and Susan Rubio; and Assemblymembers Kevin Mullin, Suzette Martinez Valladares, Jesse Gabriel, Evan Low, Phil Ting, Jim Wood, Marc Berman, Chad Mayes, Jordan Cunningham, Cristina Garcia, Laurie Davies, Cottie Petrie-Norris, Randy Voepel, and Miguel Santiago.

Assistant Senate Majority Leader Susan Eggman said: "Russia's unprovoked and unjustified invasion of Ukraine is a threat to democratic freedoms and global stability. The loss of life to satisfy the ego of a fragile tyrant is unconscionable and there must be consequences. This legislation builds upon the strong economic sanctions being pursued by the Biden Administration and our allies."

Assembly Speaker pro Tempore Kevin Mullin said: "As the fifth largest economy in the world, California cannot stand on the sidelines while this rise of authoritarianism threatens democracy and freedom around the globe. The aggression of Vladimir Putin against Ukraine demands severe sanctions and I am in full support of California taking aggressive steps to divest from Russian assets and financial institutions. I am proud to co-author this legislation and the significant message it conveys."

Chair of the Senate Labor, Public Employment and Retirement Committee Senator Dave Cortese said: "As a state, it is our responsibility to ensure we are not fueling this global crisis that has caused tremendous human suffering. I hope that other governments follow California's lead in standing for peace and taking swift action against this unjustified attack on Ukraine."

Senator Scott Wiener said: "Putin is a brutal fascist dictator. His attempted conquest of Ukraine is an extreme violation of international law and is creating a humanitarian disaster. We must not allow this destructive invasion — which will have long-term consequences for peace and security in Europe — to stand. California should not in any way support Putin's corrupt oligarchy. We must divest now."

Senator Bill Dodd said: "California stands with the Ukrainian people. It gives me no joy to sanction Russia, but the terrible invasion and murder of Ukrainian civilians by Vladimir Putin demand it. I call on other states and businesses follow suit — we must hold Russia accountable and help our Ukrainian brothers and sisters."

Assemblymember Suzette Martinez Valladares said: "Like Californians across the state, I am disgusted by Putin's thuggish and unlawful invasion of Ukraine. I'm proud to co-author this bill, which will leverage California's economic strength to put significant pressure on Russia and support our friends in Ukraine. California's state agencies and public pensions cannot help fund a dictator's attempts to take over sovereign nations."

Assemblymember Jordan Cunningham said: "An unprovoked and illegal invasion of a sovereign nation is grounds for divestment. California must stand with the people of Ukraine."

Assemblymember Jesse Gabriel said: "As the world's fifth largest economy and home to many of the world's most iconic companies, California is perfectly positioned to inflict tremendous economic pain on the Putin regime. Russia's unjustified and unprovoked attack on Ukraine demands a swift and severe response. This legislation makes clear that California will use its full economic and political power to reinforce U.S. and international sanctions, and that the Golden State will stand proudly with our international partners and the Ukrainian people at this difficult moment."

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